Question #1 of 76

Question ID: 1674761

A defined benefit plan *differs* from a defined contribution plan in that the:

A) benefit paid by the sponsor is defined by contributions made to the plan.

B) risk/return tradeoffs of plan assets accrue to the plan sponsor.

C) risk/return tradeoffs of plan assets accrue to the participant.

Question #2 of 76

Question ID: 1674764

The liquidity requirement of a pension plan is *directly* related to and *increased* by a:

A) high proportion of retired lives.

B) low proportion of retired lives.

C) high proportion of active lives.

Question #3 of 76

Question ID: 1674806

Large university endowments often have a majority asset allocation to:

A) global small-cap equities and high-yield bonds.

B) alternative investments.

C) commodities and managed futures.

Question #4 of 76

Question ID: 1674755

Which of the following approaches to asset allocation for institutional investors has the *least* exposure to alternative assets?

A) Canada Pension Plan.

B) Norway's sovereign wealth fund.

C) Yale University endowment.

Question #5 of 76

Question ID: 1674771

Brown Textiles has constructed its pension plan investment policy so that its pension assets have a high correlation with pension plan liabilities and a zero correlation with the firm's operations. Which of the following is the *most likely* impact of following such an investment policy?

A) There will be a positive long-run impact on firm valuation, and a more stable pension surplus.

B) The firm will have a high probability of making pension payments when its ability to fund those payments is low.

C) The firm will have a high probability of making pension payments when its ability to fund those payments is high.

Question #6 of 76

Question ID: 1674766

Which of the following defined benefit pension plans has the *greatest* ability to accept risk?

Plan	Age of Workforce	Ratio of Active to Retired Participants	Sponsor's Debt Ratio	Sponsor's Profitability
A	Young	High	High	Low
B	Young	High	Low	High
C	Older	High	Low	High

A) Plan C.

B) Plan B.

C) Plan A.

Question #7 of 76

Question ID: 1674780

The ending of a general business cycle may indicate the last rounds of increased firm profitability. With the prospects of lower profits on the horizons, a pension fund plan sponsor may wish to take which of the following actions? Shift pension assets into those that have a:

A) low correlation with pension liabilities and low correlation with the firm's operations.

B) low correlation with pension liabilities and high correlation with the firm's operations.

C) high correlation with pension liabilities and low correlation with the firm's operations.

Question #8 of 76

Question ID: 1674759

From the perspective of the employer, which of the following statements is *most accurate*?

A) A defined contribution plan can be underfunded; a defined benefit plan is more risky.

B) A defined benefit plan can be underfunded; a defined contribution plan is more risky.

C) A defined benefit plan can be underfunded; a defined contribution plan is less risky.

Question #9 of 76

Question ID: 1674760

Which of the following is a characteristic of a defined contribution pension plan?

A) Up to a maximum limit, the Pension Benefit Guaranty Corporation (PBGC) insures plan contributions.

B) Benefits are based on specific formulas relating to employee earnings or length of service.

C) The investment risk of plan assets is shifted to the individual.

Fred Richardson is the chief investment officer (CIO) for a large corporate defined benefit (DB) plan and recently hired Robert Wesley as a new associate. Wesley recently moved from a different country, so their first conversation is about the regulatory framework governing pension plans across countries. Richardson points out that there are many stakeholders for a DB plan, and some of them include the employer or plan sponsor, the plan beneficiaries (employees and retirees), and the government. When discussing the role of the plan sponsor, Wesley makes the following three statements:

Statement 1:	Within the DB plan, the plan sponsor will prefer higher risks and lower contributions.
Statement 2:	Sometimes, the plan sponsor might prefer to reduce the volatility of employer contributions by reducing the volatility in returns.
Statement 3:	The risks to DB pension plans are always held by the plan sponsor, who must contribute more capital if the fund experiences any losses. Under no circumstances do the employees bear any risks.

Wesley goes on to examine other DB pension plan risk considerations.

Wesley's next assignment with the DB pension plan is to review a relatively small proportion allocated to banking stocks. To better understand the regulatory and legal environment faced by the banking sector, he meets with a colleague, Patricia Suares. Suares makes the following three statements:

Statement 4:	Banks have an incentive to increase their size due to the benefits of diversification and economies of scale. One major regulatory change since the financial crisis involves reduced restrictions on the use of derivatives and proprietary trading.
Statement 5:	With the existence of systematically important financial institutions (SIFIs), regulators have increased the amount of capital required to absorb losses on assets and increased the ability of subordinated debtholders and preferred stockholders to exert their claims in a bankruptcy.
Statement 6:	Regulators are intensely focused on a bank's capital adequacy, liquidity, and leverage. Since the financial crisis, regulators have placed limits on SIFIs regarding the amount of dividends and share buybacks.

Later, Wesley and Richardson will meet to evaluate the investment policy statement (IPS) for the DB plan.

Question #10 - 13 of 76

Question ID: 1674834

How many of the statements made by Wesley are correct?

A) Three.

B) Two.

C) One.

Question #11 - 13 of 76

Question ID: 1674835

Which of the following statements regarding DB pension plan risk considerations is *most accurate*?

A) The lower the correlation of sponsor operating results and the returns of pension assets, the greater the risk tolerance of the DB plan.

B) Smaller DB plans (relative to the size of the sponsor) generally have lower risk tolerance.

C) The debt ratios of the sponsor should have no impact on the risk tolerance of the DB plan.

Question #12 - 13 of 76

Question ID: 1674836

Which of the statements made by Suares is *most accurate*?

A) Statement 4.

B) Statement 6.

C) Statement 5.

Question #13 - 13 of 76

Question ID: 1674837

When evaluating the IPS for a corporate DB pension plan, which of the following statements is *most accurate*?

A) DB pension funds generally establish an asset and liability management committee to oversee investment activities.

B) For DB pension funds, the most important objective is to achieve a target return over a specified time horizon while assuming a level of risk that is consistent with meeting contractual obligations.

C) DB pension funds generally have a perpetual investment horizon, owing to the going concern assumption. As older employees retire, new employees enter, which continually extends the life of the fund.

Question #14 of 76

Question ID: 1674784

Which of the following would be included in an investment policy statement (IPS) for a defined contribution plan?

A) Time horizon.

B) A description of the investment alternatives available to plan participants.

C) Risk objectives.

Erica Turner is a trustee of the Silas M. Turner Foundation (the Foundation), which was established by her grandfather more than 50 years ago. The family foundation provides scholarships to Mississippi high school graduates that have excelled academically and desire to attend Newsome College, Silas Turner's alma mater.

The Foundation has eight trustees who are responsible for all administrative, investment management, and scholarship decisions. All of the trustees are descendants of Silas Turner. They vary from 27 to 89 years in age and have various professional backgrounds. Once each spring, the group convenes to review the Foundation's investment performance and award scholarships for the upcoming school year. During the interim, one of the trustees is appointed to review quarterly performance, receive scholarship applications, and call ad hoc meetings via teleconference, should the need arise. As a whole, the trustees are a congenial group, but their discussions can become spirited when investment strategies are considered. Despite some widely divergent opinions, the consensus has been to maintain a conservative risk posture in the context of meeting the Foundation's return goals.

The Foundation has assets of $4 million. To carry on in the tradition of Silas Turner, the trustees want to ensure that at least 10 tuition scholarships are offered annually while maintaining the inflation-adjusted value of the principal. Tuition at Newsome College will be $18,000 next year, and it is anticipated to increase at an annual rate of 4% over the long term. Inflation is expected to be 2% for the foreseeable future. To maintain its tax exempt

status, the Foundation must have an annual spending rate of at least 5% of beginning-of-year assets.

This year, the trustees have decided to update the Foundation's investment policy statement (IPS). Because Turner is an investment professional, she has been asked by the other trustees to comment on the following proposed risk and return alternatives.

Proposed IPS	A	B	C	D
Return requirement	Outperform S&P 500 by 1%	11.0%	9.3%	7.5%
Risk tolerance	High	Moderate to high	Moderate	Low to moderate

Before making a recommendation, Turner asks the trustees to consider an allocation to international stocks, saying, "The risk and return characteristics of international stocks, as well as their relatively low correlation with the U.S. market, makes them attractive for diversification. In addition, there is a whole new set of good companies in which to invest. Now is an opportune time to invest internationally because transaction costs have come down so much."

Arthur Davenport, the elder of the trustees, retorts, "I've been around long enough to see international stocks go down and stay down for years. Besides, most of the big U.S. firms are global now, so we already have international industry exposure whether we want it or not—and all markets seem to tank at the same time these days. Furthermore, I don't trust their accounting. I say we should stick with the asset classes we are already using."

The group debates Turner's and Davenport's points for some time. They finally opt to continue to use the same asset classes already in the portfolio. The current asset allocation of the Turner Endowment is shown next.

Asset Allocation			
	Current Allocation	**Expected Return**	**Expected Standard Deviation**
Treasury bills (T-bills)	15%	2%	0%
Intermediate bonds	30%	4%	8%
Long-term bonds	15%	7%	13%
High-yield bonds	5%	11%	17%

Large-cap stocks	20%	12%	25%
Small-cap stocks	15%	14%	30%
	100%		

Question #15 - 18 of 76

Question ID: 1674815

Which of the proposed investment policies should Turner recommend as *most appropriate* for the Foundation?

A) IPS D.

B) IPS C.

C) IPS B.

Question #16 - 18 of 76

Question ID: 1674816

The trustees have decided to target a return objective of 9.5%. Given this objective, the *most appropriate* allocation to Treasury bills and large-cap equities is likely to be:

A) lower for T-bills, and the same for large-cap stocks.

B) the same for T-bills, and higher for large-cap stocks.

C) lower for T-bills, and higher for large-cap stocks.

Question #17 - 18 of 76

Question ID: 1674817

Based on a 9.5% return objective, the *most appropriate* allocation to high-yield bonds and small-cap equities is likely to be:

A) initially lower for both high-yield bonds and small-cap stocks, and then increased as the endowment increases in value because it will be able to take on more risk at that time.

B) lower for high-yield bonds, and higher for small-cap stocks.

C) the same or higher for high-yield bonds, and the same for small-cap stocks.

Question #18 - 18 of 76

Question ID: 1674818

Based on a 9.5% return objective, the *most appropriate* revision to the Foundation's intermediate- and long-term bond allocation is:

A) lower for intermediate-term bonds, and higher for long-term bonds.

B) no change for either intermediate- or long-term bonds.

C) the same for intermediate-term bonds, and higher for long-term bonds.

Question #19 of 76

Question ID: 1674781

Which of the following entities could be subject to unrelated business income tax (UBIT)?

A) Only foundations.

B) Only endowments.

C) Endowments and foundations.

Question #20 of 76

Question ID: 1674831

One difference between the asset liability management techniques between a life and property and casualty insurance company is that liability payment amounts are:

A) not known for the life insurance company.

B) known for the property and casualty insurer.

C) known for the life insurance company.

Question #21 of 76

Question ID: 1674772

Genentron is a small biotechnology firm that is developing new therapies and drugs for different types of cancer. Genentron has numerous benefits for its employees, including a defined benefit pension plan. The plan is overseen by Rolf Pyle and Shannon DeGroot, both senior executives with Genentron. Most of Genentron's employees are younger, so Pyle and DeGroot have invested the pension plan's investment portfolio aggressively. Currently, the pension portfolio allocation is 30% in the Russell 1000 Growth Index and 70% in the Commodore health care fund. Pyle and DeGroot are discussing the allocation of the plan at the most recent meeting. Pyle states, "If the health care industry leads the market again this year, it is unlikely that our pension expense will have much impact on our strong earnings, and we will be able to share more of those earnings with our shareholders." DeGroot replies, "The allocation of our pension assets should ensure that Genentron will not have to make large pension contributions, even if profitability is low."

Regarding their statements about Genentron's pension plan:

A) Pyle's statement is correct; DeGroot's statement is incorrect.

B) Pyle's statement is correct; DeGroot's statement is correct.

C) Pyle's statement is incorrect; DeGroot's statement is incorrect.

Question #22 of 76

Question ID: 1674820

Which of the following institutional investors would *most likely* have liquidity as a primary concern?

A) Banks.

B) Endowments.

C) Pension plans.

Question #23 of 76

Question ID: 1674769

When formulating an investment policy statement for a defined benefit pension plan, legal and regulatory factors, in addition to unique circumstances, must be considered. In this regard, which of the following statements is *least accurate*?

A) In the United States, the provisions of the Employee Retirement Income Security Act (ERISA) must be adhered to, regardless of any state or local laws and regulations that govern pension investment activity.

B) The basic tenet of the Employee Retirement Income Security Act (ERISA) is that pension plans be managed with equal regard for the interests of plan sponsors and plan beneficiaries.

C) Due to either ethical or political objections, a pension plan may disallow investments in certain types of traditional or alternative asset classes.

Question #24 of 76

Question ID: 1674807

The Smitherson Family Foundation was created to fund causes dear to the family. An initial grant of $35 million was established in the hopes of finding deserving projects to receive funding. The foundation was established with a perpetual life, and one of its investment goals is to maintain the purchasing power of present assets. Which of the following represents a reasonable objective in the foundation's investment policy statement?

A) The perpetual life of the plan indicates a low-to-moderate risk stance. To preserve purchasing power, investment in the safest of all assets is critical. Investing in assets returning in excess of the required 5% spending requirement should be discouraged.

B) The perpetual life of the plan indicates a moderate-to-high risk tolerance. Return objectives are to meet the required 5% private foundation spending requirement in addition to covering inflation expectations. Evaluating investments from a total return perspective is warranted.

C) All family foundations must have high risk tolerance to maintain perpetual purchasing power. Return objectives should be commensurate with the risk stance and, therefore, achieving the highest growth-oriented returns is prescribed.

Question #25 of 76

Question ID: 1674770

The pension plan at Ferrell Manufacturing currently has a surplus. Ferrell's management team wants to maintain the level of the surplus and keep it as stable as possible. To accomplish their goal, how should they position the correlation of the pension plan's assets with the pension liabilities and the firm's operations respectively?

	Correlation of Assets With Liabilities	Correlation of Assets With Firm Operations
A)	High	High
B)	High	Low
C)	Low	Low

Question #26 of 76

Question ID: 1674805

Which of the following statements *best* describes the tax constraints existing for endowments and life insurance companies?

A) Endowments are taxable entities, whereas life insurance companies are tax-free entities.

B) Endowments are tax-free entities, whereas life insurance companies are taxable.

C) Both entities are taxable.

Sandra Price is a portfolio manager at Firwood Asset Management, which is headquartered in London. Firwood offers asset management and advisory services to its client base of institutional investors, including pension funds, endowments, and financial institutions. Laura Olbermann joins Firwood as a junior portfolio manager and is tasked with assisting Price.

Price welcomes Olbermann and outlines her role within the team. Price stresses the importance of understanding client characteristics to provide the best service. She then makes the following statements:

Statement 1:	Compared to large institutional investors, small institutional investors are more likely to outsource their investments.
Statement 2:	Compared to small institutional investors, larger institutional investors tend to experience scale benefits that allow them to build

more diversified portfolios; however, the largest institutional investors may experience diseconomies of scale when constructing portfolios.

Price requests Olbermann to assist her in evaluating the defined benefit pension plans of two of her clients: Legrams Co. and Tilehurst, Inc.

Olbermann starts by collecting the necessary information on both companies to assess their pension plans' risk tolerance. The information collected is shown in **Exhibit 1: Selected Information Pertaining to Legrams Co. and Tilehurst, Inc.**.

Exhibit 1: Selected Information Pertaining to Legrams Co. and Tilehurst, Inc.

	Legrams Co.	Tilehurst, Inc.
Current employee headcount	350	250
Number of retired employees	125	120
Average employee age	48 years	55 years

Due to the poor performance of the pension fund of Legrams Co., the company has been obliged to make contributions to meet shortfalls. The company's investment committee decides that the return on plan assets should be no less than 5% going forward, provided that the percentage of alternative investments does not exceed 15% of the total asset mix. Price suggests three asset allocations presented in **Exhibit 2: Alternative Asset Allocation Mix for Legrams Co.**.

Exhibit 2: Alternative Asset Allocation Mix for Legrams Co.

	Allocation A	Allocation B	Allocation C	Expected Returns
U.S. equities	20%	25%	25%	4.5%
International equities	15%	30%	35%	5.5%
U.S. government bonds	35%	10%	10%	2.5%

International corporate bonds	20%	10%	15%	3.5%
Hedge funds	5%	10%	5%	9.5%
Private equity	5%	10%	5%	10.5%
Real assets	0%	5%	5%	9.0%

Question #27 - 30 of 76

Question ID: 1674794

In regard to the characteristics of institutional investors, which of the following is *most accurate*?

A) Only Statement 1 is correct.

B) Both statements are correct.

C) Only Statement 2 is correct.

Question #28 - 30 of 76

Question ID: 1674795

In regard to the type of pension plans offered by Legrams Co. and Tilehurst, Inc., which of the following is *most likely* correct?

A) Mortality risk is pooled.

B) The employer is the sole contributor to the plan.

C) Investment risk is borne by the beneficiaries.

Question #29 - 30 of 76

Question ID: 1674796

All else equal, based on **Exhibit 1: Selected Information Pertaining to Legrams Co. and Tilehurst, Inc.**, which of the following regarding the two pension funds' risk tolerance is *most likely* correct?

A) The Legrams pension fund and the Tilehurst pension fund have a similar risk tolerance.

B) Compared to the Tilehurst pension fund, the Legrams pension fund has a higher risk tolerance.

C) Compared to the Tilehurst pension fund, the Legrams pension fund has a lower risk tolerance.

Question #30 - 30 of 76

Question ID: 1674797

Based on **Exhibit 2: Alternative Asset Allocation Mix for Legrams Co.**, which of the following *most likely* meets the pension plan objectives of the Legrams investment committee?

A) Allocation A.

B) Allocation C.

C) Allocation B.

A number of years ago, Palmer Steel Company (Palmer Steel) began offering a defined contribution (DC) pension plan only to new employees while retaining a defined benefit (DB) plan for current employees. As a result, the firm must now administer two pension plans: a DC plan for its 2,500 current employees and a DB plan for 1,000 older employees, almost all of whom are now retired. The firm expects to fund pension payments to retired employees out of the DB plan for the next 20 years.

Recent operating problems in the volatile steel industry have resulted in several years of losses and layoffs at Palmer Steel, as well as a weak company balance sheet. The assets in the DB plan have a moderate degree of correlation with the firm's operating income. The fund currently has a 10% surplus. Inflation is expected to average 3% per year for the foreseeable future.

The required real rate of return in the DB plan based on actuarial assumptions is 5%. The duration of the plan's liabilities is eight years.

Question #31 - 34 of 76

Question ID: 1687654

Because the firm is in the position of having to administer two types of pension plans, Todd Thoms, the CFO, is reviewing the relevant management issues in preparation for a presentation to the board of directors. Which of the following issues is framed *properly* from the perspective of both Palmer Steel and its employees?

A) One shortcoming of the defined contribution (DC) plan from the perspective of Palmer Steel is that it is more costly to administer.

B) Palmer Steel should diversify the assets of *both* plans so that the correlation between those assets and the operating cash flow of the firm itself is low to improve the probability of *both* funds meeting their respective obligations.

C) One shortcoming of the defined contribution plan from the employees' perspective is that the long-term rate of return is highly uncertain and depends on investment choices made by employees.

Question #32 - 34 of 76

Question ID: 1674800

Choose the answer that *best* completes the return objective for the DB plan. The return objective is to generate total returns sufficient to meet projected pension liabilities while protecting against inflation. The effective maturity of the pension liabilities and the volatility of the firm's earnings require an emphasis on:

A) income-producing assets with a nominal return of 8% and a portfolio with a maturity of 20 years.

B) long-term capital gains to minimize taxes and a nominal after-tax return of 8% and a portfolio with a duration of 8 years.

C) income-producing assets with a nominal return of 8% and a portfolio with a duration of 8 years.

Question #33 - 34 of 76

Question ID: 1674801

Which of the following factors is not consistent with a low risk tolerance for the defined benefit fund?

A) Palmer Steel has a weak balance sheet.

B) Palmer Steel has volatile operating earnings.

C) The plan has a surplus.

Question #34 - 34 of 76

Question ID: 1674802

Which of the following statements is *appropriate* to include in the defined benefit (DB) plan's investment policy statement?

A) Liquidity needs are low because of the low correlation between the fund assets and the firm's operating income.

B) The fund's primary objectives are two-fold: (1) to achieve a target return while assuming an appropriate level of risk for its beneficiaries and (2) to minimize the cash contributions of the sponsor.

C) Taxes are not a major issue for the fund because earnings are tax exempt.

Question #35 of 76

Question ID: 1674757

An investment policy statement does not provide which of the following?

A) Guaranteed investment returns.

B) Long-term investment decision-making guidelines.

C) Weighting ranges for asset allocation.

Question #36 of 76

Question ID: 1674782

Which of the following scenarios will result in the *lowest* volatility in the surplus of a defined benefit pension plan, while at the same time keeping funding status independent of the plan sponsor's ability to make pension contributions?

A) A high correlation between pension fund assets and pension fund liabilities, and a low correlation between pension fund assets and the pension sponsor's operating performance.

B) A low correlation between pension fund assets and pension fund liabilities, and a low correlation between pension fund assets and the pension sponsor's operating performance.

C) A high correlation between pension fund assets and pension fund liabilities, and a high correlation between pension fund assets and the pension sponsor's operating performance.

Question #37 of 76

Question ID: 1687651

Which of the following statements would not be consistent with an investment policy statement (IPS) for a defined benefit plan?

A) Tax consequences can be ignored.

B) Adequate liquidity must be maintained to meet liabilities.

C) No objectives and constraints are needed.

Question #38 of 76

Question ID: 1687652

Which of the following statements regarding the time horizons for endowments and foundations is correct?

A) The time horizon for a foundation is longer than that for an endowment.

B) The time horizon for an endowment and the time horizon for a foundation are usually infinite; hence, it will differ mainly due to specific entity considerations.

C) The time horizon for an endowment is longer than that for a foundation.

Question #39 of 76

Question ID: 1674762

Under which circumstances would a defined benefit plan sponsor have the greatest willingness to take risk?

A) A young workforce with low vesting, no provision for lump-sum distributions, and low debt ratios of the sponsor.

B) Low operating risk, a small size relative to the sponsor, and a low funded status of the plan.

C) Low debt rates, older workforce, and large pension fund size.

Question #40 of 76

Question ID: 1674754

Principal-agent conflicts occur when a(n):

A) owner of a company has power to demand employees or agents to conduct illegal transactions.

B) principal appoints an agent to act on their behalf and the agent's interests are not aligned with the principal's interest.

C) OTC market maker takes a position that is contrary to an institutional investor attempting to execute a trade.

A local bank, Renno Community Bank (Renno), is seeking help managing its financing and investments. Renno has access to all capital markets for funding and has an appropriate mix of assets and liabilities on its balance sheet, including loans and debt securities.

In the current market, credit spreads on loans have narrowed, and many economists are forecasting a recession soon. Renno's chairman, Geoffrey Scully, believes that Renno has positioned itself for many years of future success through the following actions:

Action 1:	Increasing asset allocations to longer-maturity securities
Action 2:	Decreasing leverage through fewer large retail time deposits

Scully is evaluating the role of Renno's asset and liability management committee (ALMCo). Renno has an investment team in place that operates separately from the ALMCo. Current responsibilities of the ALMCo include the following:

- Setting the investment policy statement (IPS)
- Monitoring investment performance on an ongoing basis
- Establishing investment policy benchmarks

Renno currently has an equity capital ratio for financial assets of 8%. The modified durations of its assets and liabilities are 2.5 and 1.5, respectively. For small changes in interest rates, the yield on liabilities is expected to move by 90 bps for every 1% change in yield of the

assets. Scully would like to further understand how that would affect the value of shareholder equity.

Question #41 - 44 of 76

Question ID: 1674839

Which items on Renno's balance sheet would be classified as assets?

A) Loans only.

B) Both loans and debt securities.

C) Debt securities only.

Question #42 - 44 of 76

Question ID: 1674840

Which of Scully's actions would *most likely* position Renno for many years of future success?

A) Action 1 only.

B) Action 2 only.

C) Actions 1 and 2.

Question #43 - 44 of 76

Question ID: 1674841

Which of the responsibilities of the ALMCo is *most appropriate* to transfer to the investment team?

A) Establishing benchmarks.

B) Setting the IPS.

C) Monitoring performance.

Question #44 - 44 of 76

Question ID: 1674842

Given the information regarding Renno's assets and liabilities, what would be the impact on the value of shareholder capital if there were a 75-basis-point rise in the level of yields on its asset portfolio?

A) Decrease by 15.73%.

B) Decrease by 10.78%.

C) Decrease by 11.79%.

Question #45 of 76

Question ID: 1674767

Pension fund risk tolerance *increases* with:

A) provisions for early retirement or lump-sum payouts.

B) a low retired lives portion.

C) high plan asset and plan sponsor operating characteristic correlation.

Question #46 of 76

Question ID: 1674763

Liquidity needs of a pension plan are:

A) greater when plan participants have the ability to switch or take early withdrawals from the plan.

B) not an important factor, given the long-term nature of plan liabilities.

C) substantially lower for plans with older employees and low discount rates.

Question #47 of 76

Question ID: 1674756

In contrast with the Yale University model, the Canada Pension Plan model has:

A) internally managed assets.

B) lower costs.

C) a higher allocation to alternative assets.

Question #48 of 76

Question ID: 1674804

Among sovereign wealth funds, a key difference between reserve funds and savings funds is that reserve funds must:

A) maintain a higher allocation to alternative assets to reduce volatility.

B) allocate more to foreign markets, but only on a currency-hedged basis.

C) maintain a lower allocation to alternative assets due to great liquidity needs.

Question #49 of 76

Question ID: 1674832

The time horizon of a property and casualty insurer differs from that of a pension fund in that a non-life insurance company's time horizon:

A) is dependent on the uncertainties of policies sold, whereas the time horizon of a pension fund is a direct consequence of the business cycle.

B) may be quite short and will depend upon the characteristics of policies sold, whereas a pension fund's time horizon may be much longer, depending on workforce characteristics.

C) is quite long due to the uncertainty of the liability structure associated with policies sold, whereas a pension fund's time horizon will be much shorter due to the finite life of employees.

Question #50 of 76

Question ID: 1674768

Pension fund risk tolerance is *increased* by a young workforce and:

A) high plan sponsor leverage.

B) low proportion of retired lives.

C) high proportion of retired lives.

Question #51 of 76

Question ID: 1674765

The discount rate used to determine the present value of pension liabilities is the fund's:

A) required return.

B) contribution return.

C) desired return.

Stephen Moore is a portfolio manager at Monarch Investments, a French firm that provides investment management services mainly to institutional investors.

Moore has been assigned to give a brief presentation to Monarch's new hires, explaining to them the characteristics of the firm's institutional investors. While discussing pension funds, Moore makes the following statements:

Statement 1:	The investment objectives of a defined benefit (DB) pension fund are generally less complicated than those of banks and insurance companies.
Statement 2:	The sponsor of a DB pension plan should work in the best interests of the company's shareholders.
Statement 3:	The employer does not have any fiduciary duties toward the beneficiaries of a defined contribution pension plan.

After finishing his presentation, Moore meets Alan Muzones, his associate, to discuss the DB plan of Lamentine, Inc., a well-known FMCG retailer operating across Western Europe that has been a long-time client of Monarch. Muzones notes that Lamentine's pension fund, which has a high risk tolerance, is characterized by a relatively high allocation to alternative investments and externally managed assets.

Moore goes through the actuarial assumptions made by previous analysts and requests Muzones to make the following amendments to more accurately forecast the pension plan liabilities of Lamentine:

Amendment 1:	Increase the discount rate from 2.5% to 3.5%.
Amendment 2:	Decrease the expected salary growth rate to 2%.
Amendment 3:	Amendment 3: Decrease the expected employee turnover rate to 10%.

Later that day, Moore meets OAL Insure, one of his clients, to review the firm's investment portfolio. **Exhibit 1: Selected Financial Information Pertaining to OAL Insure** includes

financial information pertaining to OAL Insure.

Exhibit 1: Selected Financial Information Pertaining to OAL Insure

Equity-to-asset ratio	0.11
Modified duration of assets	2.5
Modified duration of liabilities	2.1
Expected change in the yields on liabilities for a 100-bp increase in the yields on assets	70 bps

The yields on assets are expected to increase by 55 bps.

Question #52 - 55 of 76

Question ID: 1674844

Which of Moore's statements regarding pension funds is *most likely* correct?

A) Statement 2.

B) Statement 1.

C) Statement 3.

Question #53 - 55 of 76

Question ID: 1674845

Based on the characteristics of Lamentine's pension fund, which of the following investment approaches is *most likely* followed by the fund?

A) The Norway model.

B) The endowment model.

C) The Canada model.

Question #54 - 55 of 76

Question ID: 1674846

Which of the amendments requested by Moore would *least likely* decrease the liabilities of Lamentine's pension plan?

A) Amendment 2.

B) Amendment 1.

C) Amendment 3.

Question #55 - 55 of 76

Question ID: 1674847

Based on **Exhibit 1: Selected Financial Information Pertaining to OAL Insure**, the percentage change in the value of OAL Insure's shareholder capital following a 55-bp increase in the yields on the firm's assets is *closest* to:

A) -0.15%.

B) -2.71%.

C) -5.96%.

Question #56 of 76

Question ID: 1674830

External stakeholders of large, public international banks include:

A) credit rating agencies, regulators, management, and the board of directors.

B) shareholders, depositors, borrowers, and creditors.

C) shareholders, management, employees, and creditors.

Grace Manufacturing (Grace) is a medium-sized industrial company whose stock returns are highly correlated with the Dow Jones Industrial Average. The company administers and manages (in-house) a defined benefit pension plan for its employees. The average age of the workforce is only 30 years, and only 5% of the plan beneficiaries are currently retired. Recent strong operating results have enabled Grace to overfund the plan by 15%. Based on actuarial assumptions, the required real rate of return on the fund is 6%.

For years, Grace has invested primarily in a conservative manner, as shown here in the asset allocation.

Current Asset Allocation			
Portfolio	**Allocation**	**Expected Return**	**Volatility**

Small-cap U.S. equities and international equities	10%	11%	20%
Equally weighted portfolio of 25 large U.S. industrial companies	15%	9%	18%
AAA corporate bond portfolio	20%	7%	8%
Treasury bonds (8-year duration)	30%	6%	7%
Treasury bills	25%	4%	0%

The conservative stance is further reflected in the risk tolerance objective of the fund's investment policy statement (IPS).

Investment Policy Statement	
Return objective	The fund's return objective is to achieve total returns of 10%, sufficient to fund the required real rate of 6% plus the expected inflation rate of 4%.
Risk tolerance	The risk tolerance of the company is below average. The plan must guarantee the safety of the plan assets to ensure income will be available to fund retirees' pension payments in the future.
Liquidity constraint	The fund's liquidity requirements are low because of the long time horizon and relatively young workforce.

The company has asked Elaine Sargent, CFA, for advice in revising the IPS and reviewing the current asset allocation for potential inclusion of one or more of the following portfolios.

Portfolios	Expected Return	Volatility	Correlation With DJIA
Portfolio A	7%	10%	0.5
Portfolio B	11%	15%	0.7
Portfolio C	14%	22%	0.3
Dow Jones Industrial Average (DJIA) index fund	10%	18%	1.0

Question #57 - 59 of 76

Question ID: 1687648

Which of the following changes to the fund's IPS should Sargent recommend?

A) The fund's liquidity constraint should be rewritten to reflect moderate liquidity requirements consistent with the fund's low risk tolerance.

B) A return objective of 10% is not consistent with a below average risk tolerance. Therefore, the fund should target a lower return objective in order to be consistent with the low risk tolerance.

C) The risk tolerance for the fund should be much higher because of the long-term nature of the obligations and the need to preserve capital through equity investments to guard against inflation eroding the value of the assets.

Question #58 - 59 of 76

Question ID: 1687649

Sargent should recommend that the allocation to the equally weighted equity portfolio be:

A) increased significantly because it has favorable risk-return characteristics relative to the other funds.

B) decreased significantly because it is most likely highly correlated with the firm's operating cash flows.

C) decreased significantly because it is not consistent with the fund's return objective.

Question #59 - 59 of 76

Question ID: 1687650

Sargent should recommend which of the following allocations?

	AAA Corporate Bonds	Treasury Bills
A)	Increase	Increase
B)	Decrease	Decrease
C)	Increase	Decrease

Question #60 of 76

Question ID: 1674758

Which of the following statements regarding defined benefit and defined contribution pension plans is *least accurate*?

A) The risk and return of defined benefit pension fund investments is borne by the plan participants.

B) Promised benefits under a defined benefit plan are paid to plan participants at retirement and represent a liability to the plan sponsor.

C) The liability to a defined contribution plan sponsor is the current plan contribution requirement.

Gina Manley, CFA, is a pension fund manager for Brooke and Associates. She manages the pension fund accounts for several small- and medium-sized firms.

Company owner Herb Brooke has tasked Manley with reviewing the firm's asset allocation policy. In the past, Brooke and Associates included large-company international stocks and large-company domestic stocks as part of the same asset class because they have similar risk and return properties, even though they have a low (0.4) correlation with each other. Venture capital was included as part of the small-company stock asset class because it has a high correlation (above 0.7) with small-company stocks, even though the risk of venture capital investments is far greater than the risk of small company stocks.

As part of her portfolio management duties, Manley has recently taken over two pension accounts from other fund managers. The first account is the Crandall Company pension account. In reviewing the investment policy for Crandall, she finds a statement that "the fund shall not directly use equity futures, nor shall it hire any outside money manager that uses equity futures as part of its investment strategy in managing the fund's assets."

The second new account Manley has recently acquired is the Cooper Company pension fund. The fund currently has a 70% allocation in equities, including 10% in Cooper stock, with the rest in bonds. The plan is currently underfunded. Manley believes the fund's equity portfolio, including the Cooper stock, will provide an annualized return of 8% over the next five years. The fund's long-term, investment-grade bonds should provide a 4% return.

Manley is also working with a new client, Chapman, Inc., to set up a new pension fund. Manley's discussions so far have been directly with the owner, David Chapman. Manley has laid out for Chapman the advantages and disadvantages of defined benefit plans and defined contribution plans. She tells Chapman about the following characteristics of defined contribution plans:

- The employee makes regular contributions to the fund.
- Benefits are based on formulas relating to employee earnings or length of service.

- The employee bears all of the investment risk.
- The employer has no financial obligation beyond making contributions.

Chapman is comfortable with Brooke and Associates, and he likes Manley's work, so he decides to set up a defined benefit plan instead of a defined contribution plan. In the process of gathering data, Manley discovers the following information about Chapman, Inc.:

- The company is 5 years old.
- Most of Chapman, Inc.'s, employees graduated from college less than 10 years ago.
- Stock options represent a significant portion of most employees' compensation.
- The median annual salary of Chapman, Inc., employees is $65,000.

Chapman and two of his vice presidents plan to retire within the next two years.

Question #61 - 66 of 76

Question ID: 1674774

Which of the following is *least likely* to be an investment constraint for the Chapman pension fund?

A) Taxes.

B) Investment horizon.

C) Liquidity.

Question #62 - 66 of 76

Question ID: 1674775

Regarding the Cooper Company pension plan, Manley's *best* course of action is to:

A) lower the fund's equity allocation but not sell the Cooper stock, as such a large sale would drive the price down.

B) lower the fund's equity allocation by selling the Cooper stock.

C) increase the allocation to equities because risk diminishes over time.

Question #63 - 66 of 76

Question ID: 1674776

Which of the following is the *best* justification for Crandall Company's futures policy?

A) Futures are used mainly for speculative purposes.

B) The use of futures is inconsistent with the prudent expert rule of ERISA.

C) Futures are used to manage short-term risks, and the fund should be concerned with long-term risks.

Question #64 - 66 of 76

Question ID: 1674777

Which of Manley's statements regarding defined contribution plans is *least accurate*?

A) Benefits are based on formulas relating to employee earnings or length of service.

B) The employer has no financial obligation beyond making contributions to the plan.

C) The employee makes regular contributions to the fund.

Question #65 - 66 of 76

Question ID: 1674778

Regarding its asset classes, the *best* course of action for Brooke and Associates is to:

A) separate both venture capital and international stocks as unique asset classes.

B) separate venture capital as a unique asset class, but leave international stocks in the large-company stock class.

C) separate international stocks as a unique asset class, but leave venture capital in the small-company stock class.

Question #66 - 66 of 76

Question ID: 1674779

Which of the following represents the *most appropriate* asset allocation for Chapman's pension fund?

A) 40% investment-grade bonds, 30% small-cap stocks, 20% large-cap stocks, and 10% venture capital.

B) 60% large-cap stocks, 30% small-cap stocks, and 10% foreign stocks.

C) 40% large-cap stocks, 30% high-yield bonds, 20% investment-grade bonds, and 10% real estate.

Question #67 of 76

Question ID: 1674783

Which of the following statements about defined contribution investment policy statements (IPSs) is *least accurate*?

A) IPSs for defined benefit and defined contribution plans are similar in nature.

B) Plan sponsors should provide education about investing plan funds.

C) Procedures are established to ensure that a myriad of individual investor objectives and constraints can be handled.

Question #68 of 76

Question ID: 1674819

A life insurance company's liquidity requirement differs from a non-life insurance company's requirement in that a life insurance company's liability structure is uncertain in its:

A) timing and amount, while a non-life insurance company's liability structure is also uncertain in its amount and timing.

B) timing, while a non-life insurance company's liability structure is uncertain in both its amount and timing.

C) amount, while a non-life insurance company's liability structure is uncertain in both its amount and timing.

Question #69 of 76

Question ID: 1687645

A defined contribution plan differs from a defined benefit plan in that the:

A) investment decisions are made by the plan sponsor.

B) risk/return tradeoffs of plan assets accrue to the participant.

C) risk/return tradeoffs of plan assets accrue to the plan sponsor.

Question #70 of 76

Question ID: 1674803

The type of sovereign wealth fund (SWF) with the shortest investment horizon is:

A) development funds.

B) budget stabilization funds.

C) reserve funds.

The Carraway Endowment Fund (Carraway Fund) was originally established to contribute to the support of the operations of Carraway Medical Center in the United States. The Carraway Fund currently has assets of $50 million, and the fund's asset allocation at the end of 2019 is shown in the table below. The Carraway Fund desires to be reasonably diversified while ensuring it earns a sufficient return. In mid-2020, the Carraway Medical Center opened research facilities in Germany and Singapore. As a result of the expansion, the annual spending rate of the Carraway Fund was increased from 3.5% to 5.2% of total assets, and 30% of the fund's annual payout was allocated to the new facilities. Support for the new operations must be provided in local currencies. Inflation is expected to be 3.0% during each of the next several years.

Carraway Fund Asset Allocation, 2019		
Asset Class	**Current Allocation (%, USD)**	**Expected Returns (%)**
Cash	2.0	2.0
U.S. bonds	33.0	6.5
International bonds	0.0	7.0
U.S. equities	60.0	9.0
International equities	5.0	8.5

Question #71 - 75 of 76

Question ID: 1674809

The *most appropriate* return objective for the Carraway Fund is *closest* to which of the following?

A) 5.2%.

B) 8.2%.

C) 8.7%.

Question #72 - 75 of 76

Question ID: 1674810

Which of the following *most appropriately* addresses the Carraway Fund's allocation to cash?

A) Endowment funds typically have low liquidity needs. Therefore, a 2.0% allocation to cash is excessive.

B) Endowment funds typically have low liquidity needs. Therefore, a 2.0% allocation to cash should be sufficient to cover operating expenses.

C) Endowment funds often have high liquidity needs. Therefore, a 10% allocation to cash may be necessary to cover operating expenses and unexpected liquidity needs.

Question #73 - 75 of 76

Question ID: 1674811

Which of the following *most appropriately* addresses the Carraway Fund's allocation to U.S. equities?

A) The fund’s allocation to U.S. equities is too high. A 35%–40% allocation to U.S. equities is more appropriate.

B) The fund’s allocation to U.S. equities is appropriate.

C) The fund’s allocation to U.S. equities is too high. A 50%–55% allocation to U.S. equities is more appropriate.

Question #74 - 75 of 76

Question ID: 1674812

Which of the following *most appropriately* addresses the fund's allocation to international bonds?

A) The Carraway Fund’s allocation to international bonds is appropriate. There is no reason to include an allocation to international bonds.

B) The Carraway Fund's allocation to international bonds is too low. A 25%–30% allocation to international bonds is more appropriate.

C) The Carraway Fund's allocation to international bonds is too low. A 10%–15% allocation to international bonds is more appropriate.

Question #75 - 75 of 76

Question ID: 1674813

Which of the following *most appropriately* addresses the funds allocation to U.S. bonds?

A) The Carraway Fund's allocation to U.S. bonds is too low. A 70% allocation to U.S. bonds is more appropriate.

B) The Carraway Fund's allocation to U.S. bonds is appropriate.

C) The Carraway Fund's allocation to U.S. bonds is too high. A 20%–25% allocation to U.S. bonds is more appropriate.

Question #76 of 76

Question ID: 1687646

Which of the following is a characteristic of a defined benefit pension plan?

A) Plan sponsors bear all investment risk. They are liable for shortages and have a claim against excess returns.

B) Defined benefit plans are less expensive to administer, and young employees like the portable nature of their contributions.

C) Contributions to the plan are typically a percentage of plan participants' current pay.